

Renwick Packaging

Renwick Packaging converts paperboard into folding cartons for food and household products. In FY2025 it finished a plant expansion, funded partly by an equity issue, ahead of a five-year supply contract with a national food company that begins in FY2026.

The contract raises volume sharply in its first year and less sharply thereafter. Renwick's management expects sales growth of 25 percent in FY2026, 18 percent in FY2027, 10 percent in FY2028, and 6 percent a year from FY2029 onward. The EBITDA margin improves as the new capacity absorbs volume: 17 percent in FY2026, 18 percent in FY2027, 19 percent in FY2028, and 20 percent from FY2029 onward.

The operating ratios are expected to hold at the levels the last three years show. Renwick's weighted average cost of capital is 11 percent and its tax rate is 21 percent. It has 9.0 million shares outstanding. Net PP&E at the end of FY2022 was \$66.00 million.

EXHIBIT 1 · INCOME STATEMENTS

\$ MILLIONS	FY2023	FY2024	FY2025
Sales	120.00	132.00	145.00
EBITDA	18.00	20.46	23.20
Depreciation	6.60	6.86	7.54
EBIT	11.40	13.60	15.66
Interest	2.25	2.25	2.25
Pretax income	9.15	11.35	13.41
Taxes	1.92	2.38	2.82
Net income	7.23	8.97	10.59

EXHIBIT 2 · BALANCE SHEETS

\$ MILLIONS	FY2023	FY2024	FY2025
Cash	9.00	10.00	12.00
Accounts receivable	12.84	14.40	17.75
Inventory	15.00	16.00	18.00
Net PP&E	68.64	75.40	94.25
Total assets	105.48	115.80	142.00
Accounts payable	12.00	13.00	14.00
Debt	45.00	45.00	45.00
Equity	48.48	57.80	83.00
Total liabilities and equity	105.48	115.80	142.00

EXHIBIT 3 • THE FORECAST

Sales growth	25%, 18%, 10%, then 6% a year from FY2029
EBITDA margin	17%, 18%, 19%, then 20% from FY2029
Net PP&E, depreciation, working capital	At the rates measured from Exhibits 1 and 2
Tax rate	21%
Weighted average cost of capital	11%
Cash, debt, shares	\$12.00m, \$45.00m, 9.0 million

ASSIGNMENT

- 1 Measure the three ratios from the exhibits. The net PP&E ratio can only be measured twice; say why, and say what the FY2025 balance of 94.25 tells you about what the expansion was built for.
- 2 Forecast free cash flow for FY2026 through FY2030. Report each year's free cash flow as a share of that year's sales.
- 3 In which year does free cash flow first grow at 6 percent? Put the terminal value at the end of the year before it, and say why it goes there rather than a year earlier or a year later.
- 4 Compute the enterprise value, then the equity value, then the value per share. State what you did with cash and with debt, and why neither of them appears anywhere in your cash flows.
- 5 What share of the enterprise value is the terminal value? Say what that implies about which assumption in the model deserves the most scrutiny.